

DISCUSSION OF “WHEN DO FIRMS PROFIT FROM WAGE SETTING POWER?”

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Northeast Labor Symposium for Early Career Economists (NLSE) 2024

April 4, 2024

Summary

THIS PAPER

Q: What makes **wage setting power** result in **profits for firms** and **how large** are these profits?

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- Build a model of dynamic monopsony w/ search on the job & recruiting expenditure
 - Firms use both wages and recruiting expenditures to attract workers
 - Search frictions + worker preferences → wage setting power of firms
- Estimate firm wage-size elasticity based on model predictions
 - Using AKM and the decomposition of firm size and wage effects
 - Using DiD around firm expansion and worker switching into expanding firms (Friedrich et al. 2023)
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 - If a function of hire/incumbent, no profit share (fully absorbed by recruiting costs)
- ② The profit share is tightly linked to the elasticity of optimal wages to firm size
 - Wage setting power alone is not sufficient to explain profit share
- ③ Estimates of the profit share of marginal products
 - AKM: profit shares are estimated at 0.09 (single-unit firms), 0.03 (multi-unit firms)
 - Firm expansion events (Friedrich et al. 2023): switchers experience higher wage growth at expansion (but no further gains afterwards) → Indicative of elastic labor supply and zero profit share

Comments

OVERVIEW

This paper nicely:

- Investigates the extent to which wage setting matters for firm profits with a tractable model
- Offers a resolution to the existent puzzles through recruiting + separation elasticities
 - Narrow the gaps lying in i) various labor supply elasticities and ii) profit share puzzle

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Some comments:

- 1 Recruiting Costs and Decomposition of Marginal Products
- 2 Wage-Size Elasticity Estimation
- 3 Alternative channel for the Profit Puzzle

RECRUITING COSTS AND DECOMPOSITION OF MARGINAL PRODUCTS

- Useful to decompose marginal products into wage, recruiting costs, and profit, which depends on the functional form of recruiting costs

$$C(N, V) = c \times \left(\frac{V_t}{N_{t-1}} \right)^\chi N_{t-1}^{\sigma\chi}$$

- The share of wages: $\frac{(1+\chi)\varepsilon}{1+(1+\chi)\varepsilon+\sigma\chi}$, recruiting costs: $\frac{1}{1+(1+\chi)\varepsilon+\sigma\chi}$, profits: $\frac{\sigma\chi}{1+(1+\chi)\varepsilon+\sigma\chi}$
- Higher χ :** the share of **wages** $\uparrow$, but if $\chi = \infty$, this **converges back** to the level at $\chi = 0$
- Higher σ :** the share of **wages** $\downarrow$ and the share of **profits** $\uparrow$

RECRUITING COSTS AND DECOMPOSITION OF MARGINAL PRODUCTS

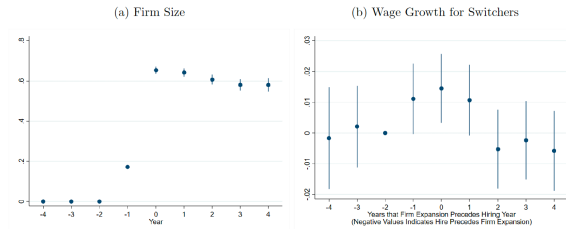
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 - Higher σ :** the share of **wages** $\downarrow$ and the share of **profits** $\uparrow$
- $\Rightarrow$ Further insights could be provided behind this dynamics & how these parameters interact
- $\Rightarrow$ $\rho = 0, \varepsilon = 5, \chi = 1$ assumed: how sensitive are they for the profit share?

WAGE-SIZE ELASTICITY ESTIMATION

- Using DiD for firm expansion events

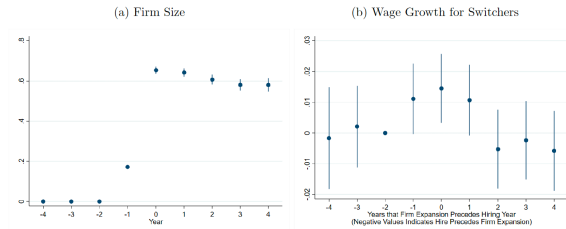


$$\Delta \log(N_{j,t+s,t+s-2}) = \beta_s \mathcal{I}\{\text{expansion in year } t\} + \tau_{jt} + w_{j,t+s-4,t+s-2}$$

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- ⇒ Alternative story? e.g., optimal scale of firms
- ⇒ Hard to see it as direct evidence for the shape of recruiting costs ($\chi > 0$, $\sigma = 0$)

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(Kehrig and Vincent 2017; Autor et al. 2020)

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 - Labor and profit shares vary across firms a lot and are highly skewed
 - The change in aggregate labor share results from a redistribution across firms
(Kehrig and Vincent 2017; Autor et al. 2020)
- ⇒ Incorporating firm heterogeneity and composition may have a different story

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- Builds a model linking monopsony + recruiting costs
- Estimates size-wage elasticity and profit share
- Helps reconcile preceding puzzles b/w labor supply elasticity and profit share

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Review:

- Interesting question. Provide a tractable model with consistent wage-size elasticity estimates
- Direct evidence and importance for the channel can further be enhanced